Long-term portfolio analysis framework

Our journey over the past months

Bern, 13.10.2026



Agenda

01 BKW – Who are we? How does our portfolio look like? What's our ambition for 2030?

02 Long-term portfolio analysis framework – How does our tool work?

03 How do we integrate the tool in our daily work life?

04 Conclusion & outlook – What are our next steps?



01

BKW – Who are we? How does our portfolio look like? What's our ambition for 2030?

From a reliable partner for energy supply ...

1898 → 2026

... today, there's much more at stake than *just* energy.

Core elements from our strategy «BKW Solutions 2030»



Growth

- Expanding energy solutions and strengthening the production portfolio
- Further developing the distribution network while maintaining high grid availability
- Expanding solutions for the planning, construction, and maintenance of infrastructure and buildings



Excellence

- Profitability before growth
- Consistent focus on customer needs
- Active portfolio and risk management



Sustainability

- Growth opportunities in energy, infrastructure, and building
- Ambitious sustainability goals with a focus on climate, energy, nature, people, and governance

We are growing profitably and sustainably

Group portfolio overview: We invest in growth and in a balanced portfolio

	Growth	Profitability	Stability	Investment allocation until 2030 in CHF
Energy Solutions (Focus of today's session) High growth potential	●●●	●●○	●○○	2,5 billion
Power Grid Consistent contributions to earnings	●○○	●○○	●●●	1,0 billion
Infrastructure & Buildings High profitability	●●○	●●●	●●○	0,5 billion

●●● High ●● Medium ● Low

Energy Solutions

- Develops **standardized** and **structured energy solutions** for customers
- Manages **its own** and **third-party facilities**
  - **hydro**
  - **wind & solar**
  - **thermal assets**
  - **BESS**
- Actively participates in **wholesale markets** with various commodities and products



Green growth

Energy Solutions

We are increasing the share of **renewable electricity**

Wind and solar

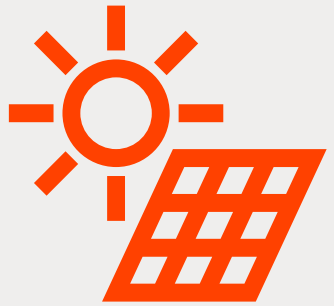
Significant expansion of wind and solar power in BKW core markets

Value chain

Coverage of the entire value chain, from project planning through construction to operation and maintenance

Capital light

Using capital light as an option to increase capital efficiency





+600 MW

until 2030

>50% Extension

Flex transition

Energy Solutions

We are committed to **flexibility**

BESS

Building a portfolio of large-scale batteries

Fuel switch

Fuel switch from coal to CO2-neutral options

Continue the flexibility journey

Maintaining a high level of flexibility in our production portfolio - a constant feature of our history



>500 MW

BESS until 2030

>50%

Flexibility share in portfolio 2030

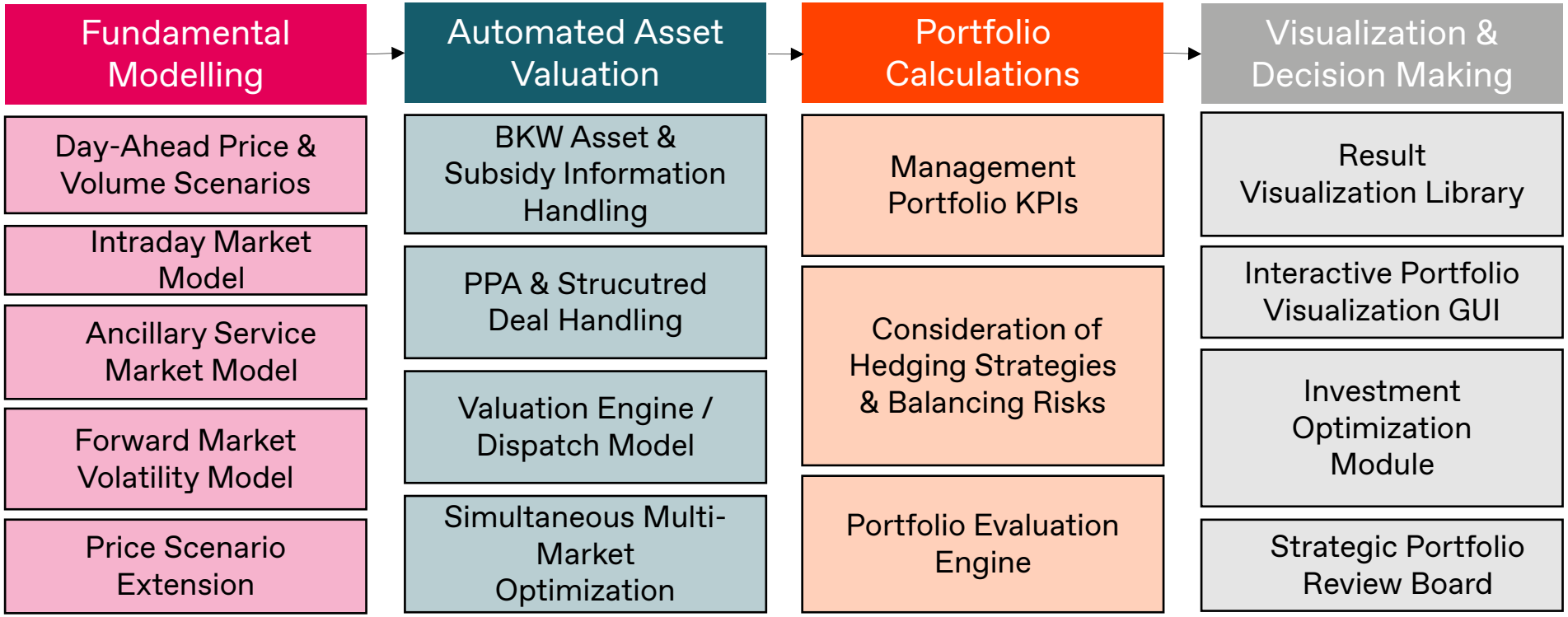
02

Long-term portfolio analysis framework – How does our tool work?

What central questions should be answered by the long-term portfolio analysis framework (LPAF)?

Tool is able to answer these questions:

- **Where and in which technologies** should we invest?
- How much **capacity** should be added?
- **When** to invest?
- How much exposure should we add on a **merchant vs. regulated basis**?
- What **type of risk** are we taking on?
- What **value** does a plant **add to the portfolio?**



Two-stream development:
Immediate strategy execution impact through fast MVP

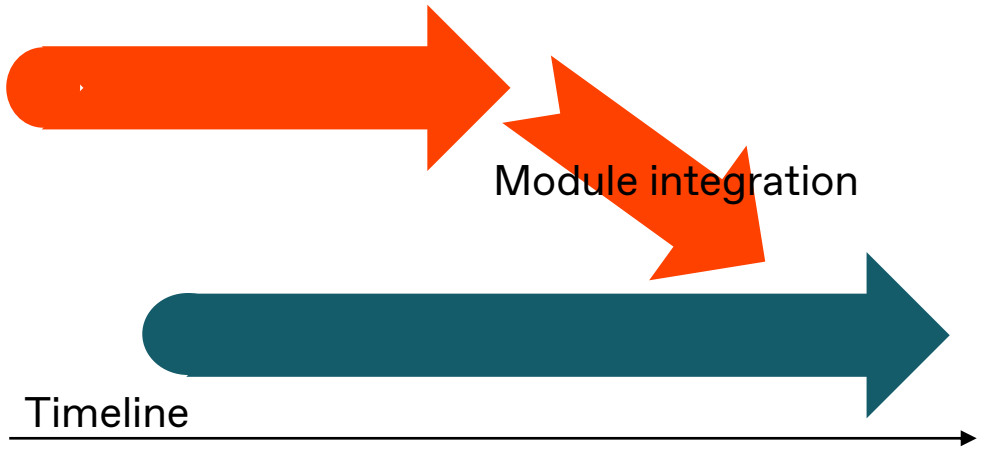
Steps and characteristics

MVP

- Basic core functionalities
- Fully based on current BKW tools
- Modular design with clear interface definitions

Next Gen

- Extended features (integrated multi-market optimization and advanced scenario set)
- User-friendly GUI



Suggested Approach

Prioritize rapid implementation of the MVP with core components to enable an enhanced investment decision support for BKW management as soon as possible ➔ **fast impact on strategy execution**

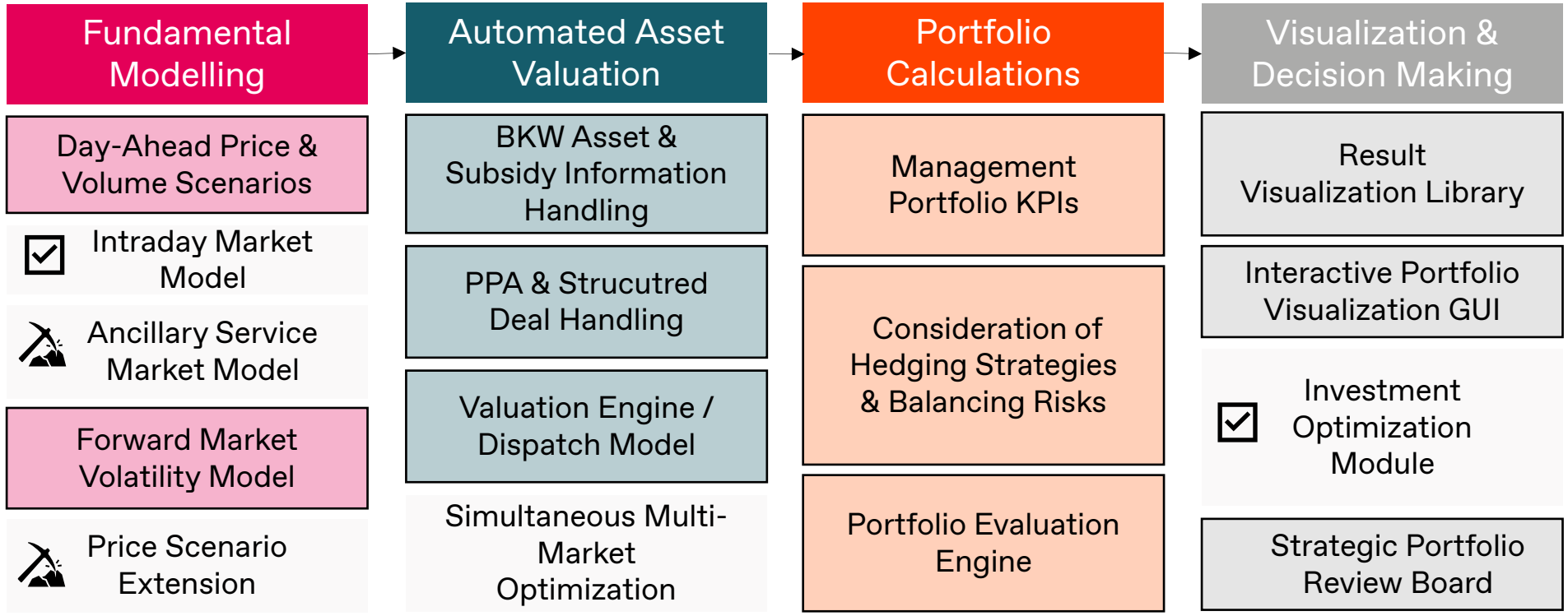
Align starting point for developing the Next Gen tool extensions with available resources of involved business units ➔ **proper resource planning**

Develop selected Next Gen framework modules in parallel with MVP creation (e.g. scenario-matching intraday & ancillary service market model, optimal portfolio suggestion) ➔ **avoid bottlenecks**

What elements were required for our LPAF MVP?

Tool is able to answer these questions:

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Core functionalities for management investment decision support were all included in fast «MVP» stream

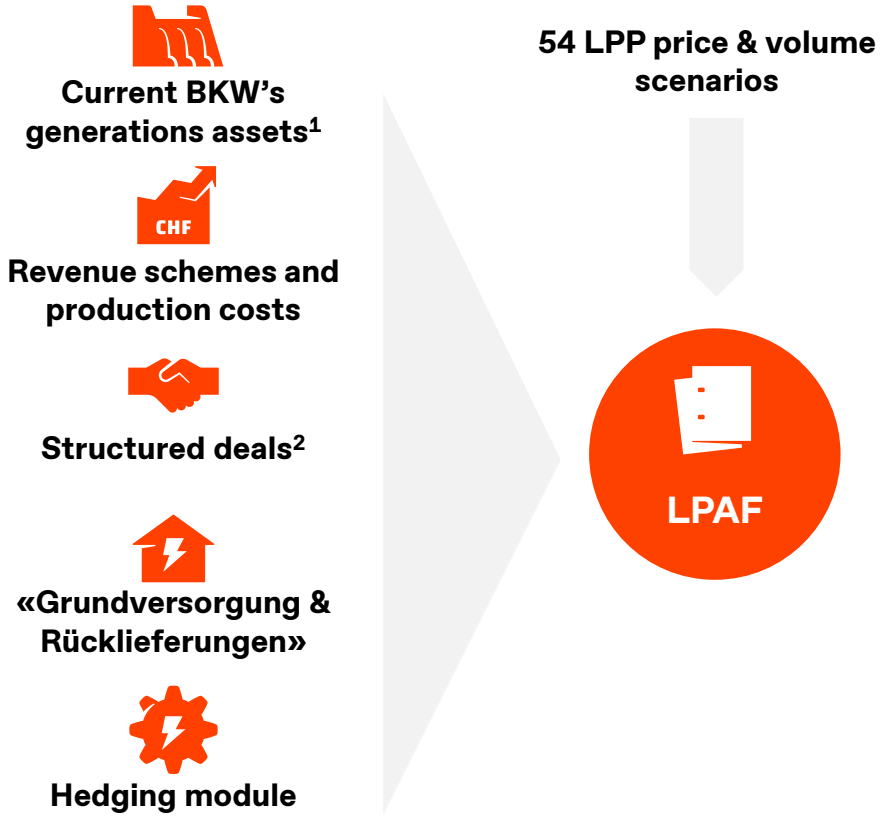
In realisation - independent of portfolio modelling project

NextGen elements finished until today

Included in «MVP»

The MVP integrates BKW's main portfolio building blocks into one analytical view

The MVP portfolio combines different portfolio blocks



Market components

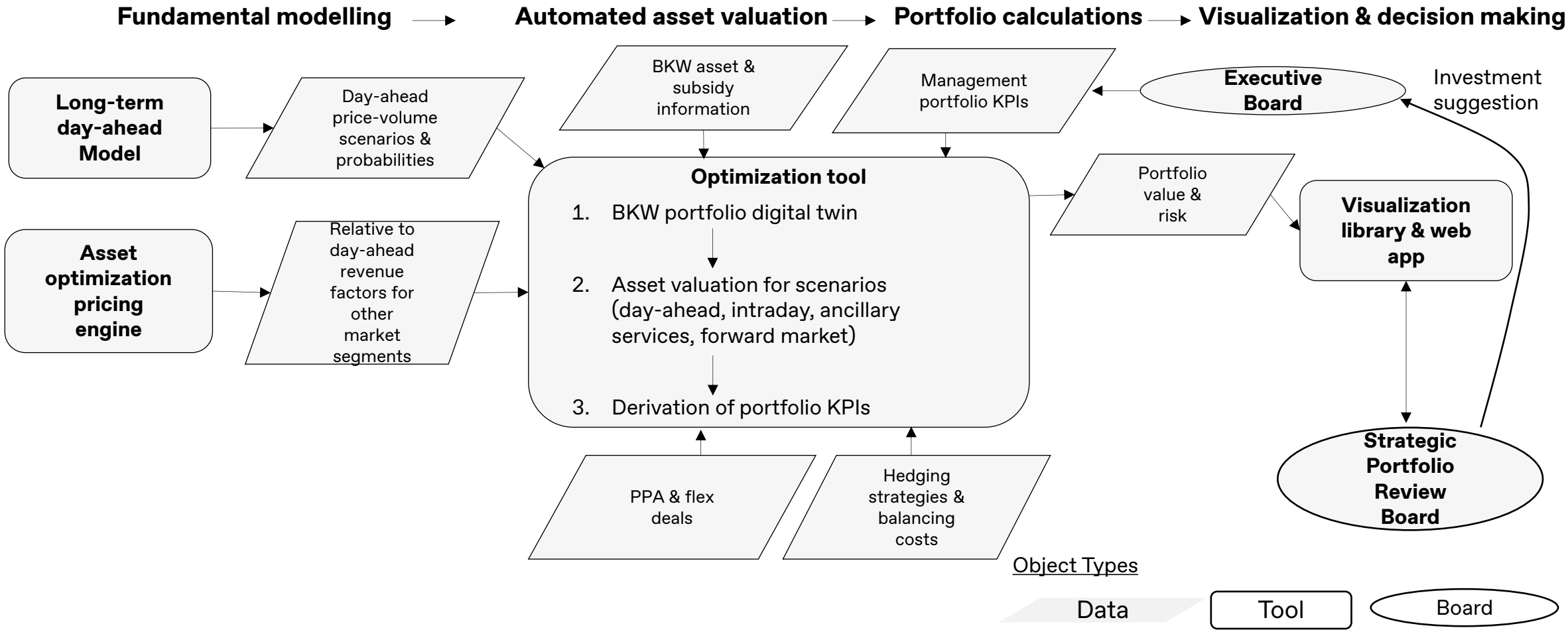
- Day-ahead
- Intraday
- Ancillary services
- Forward market
- Balancing costs

Metrics

- IRR
- EBIT
- NPV
- Risk measures, variability, standard deviation, ...

1 Generation assets, storage, pumped storage, batteries, wind clusters | 2 PPAs (direct marketing / pay-as-produced), BESS tollings & profit shares etc.

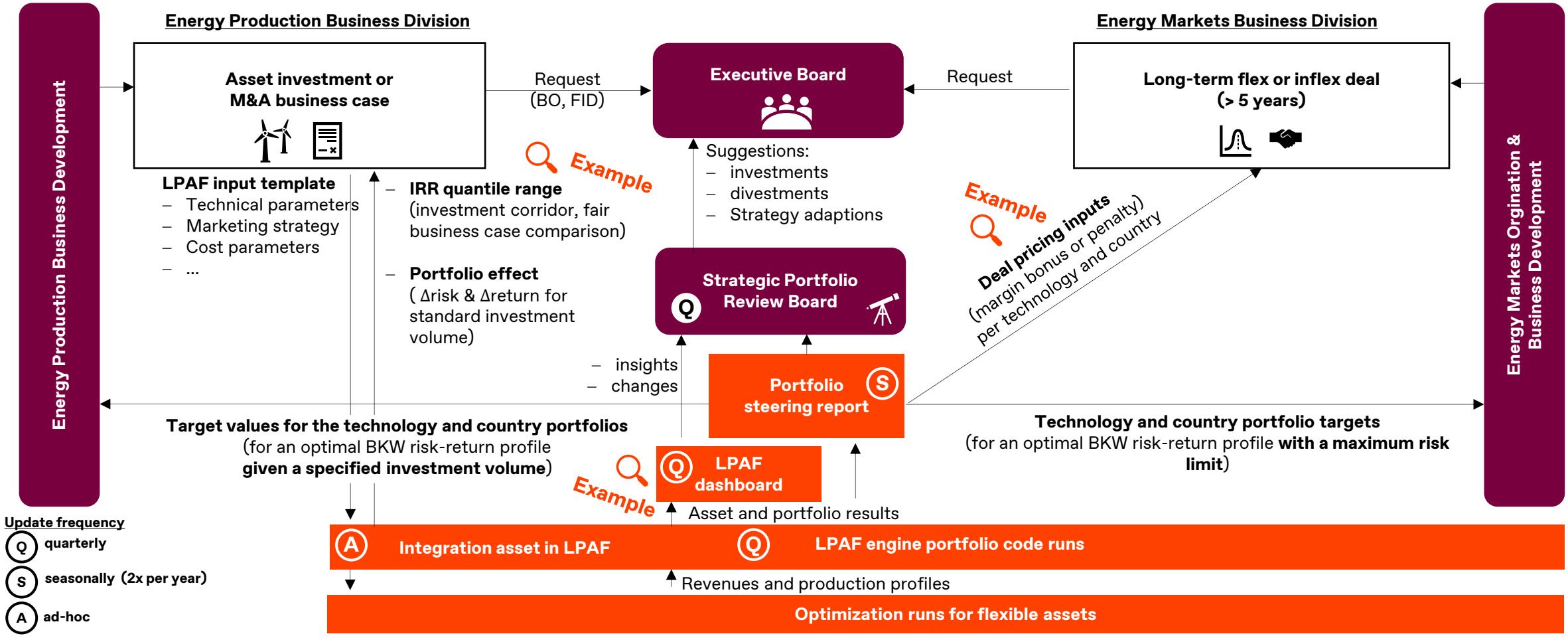
MVP – Data flow and tool landscape



03

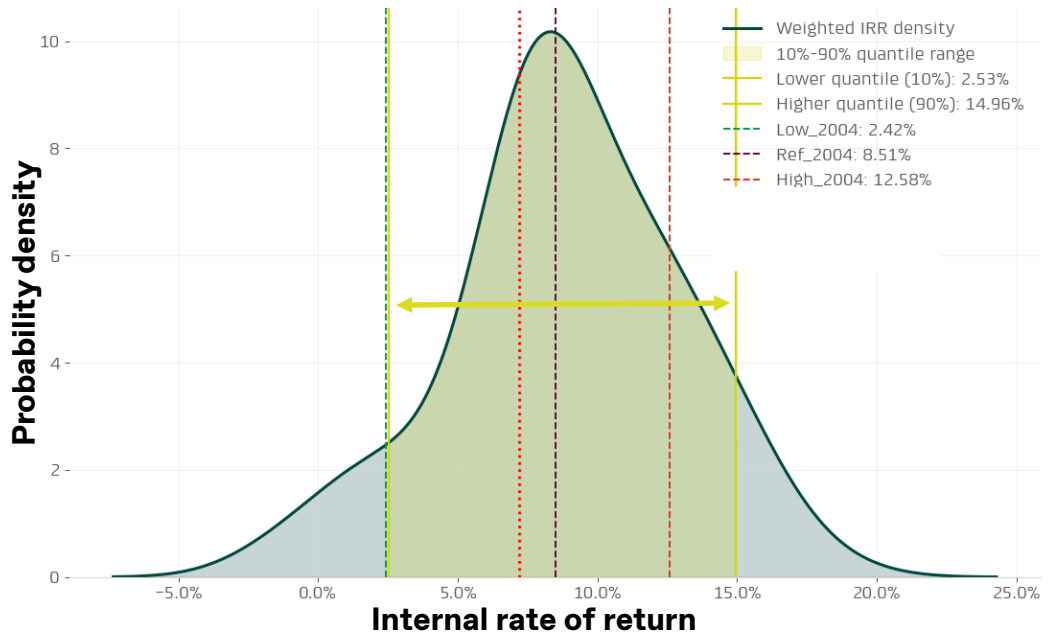
How do we integrate the tool in our daily work life?

LPAF application map –
Where and how does the framework add value to our strategy execution?

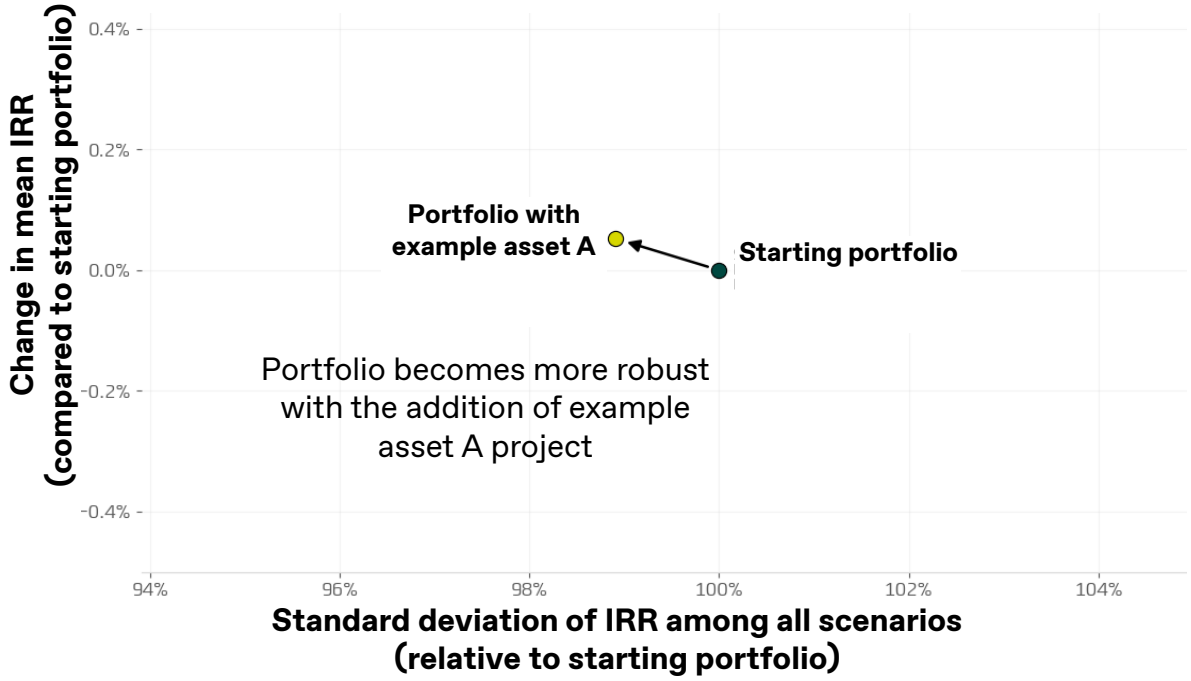


Asset investments -
IRR range and portfolio effect as business case inputs

IRR Quantile Range of Example Asset A



Portfolio Effect

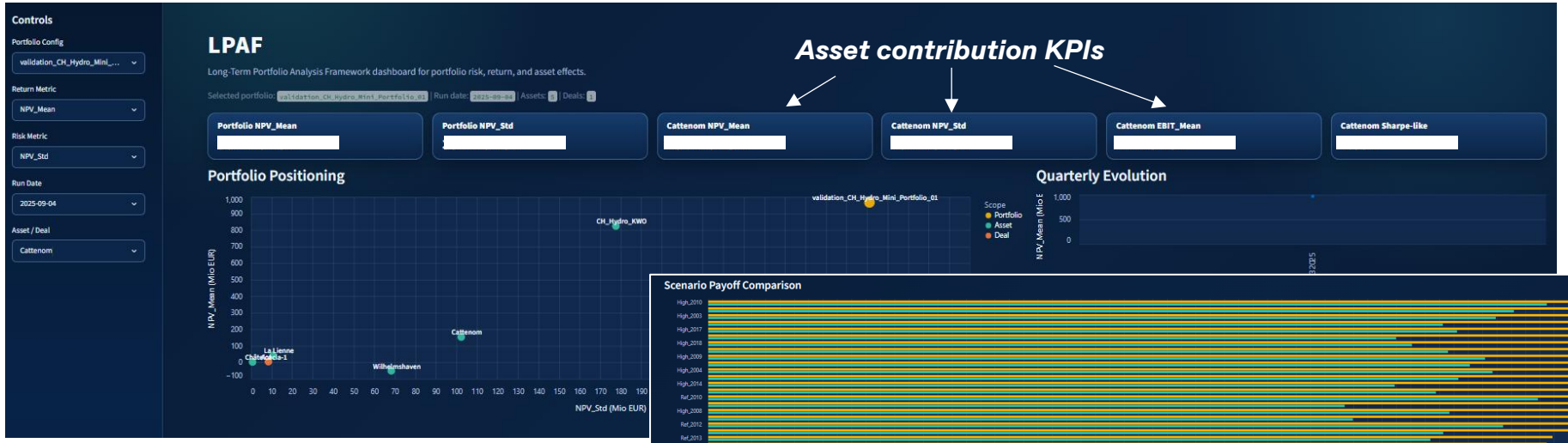


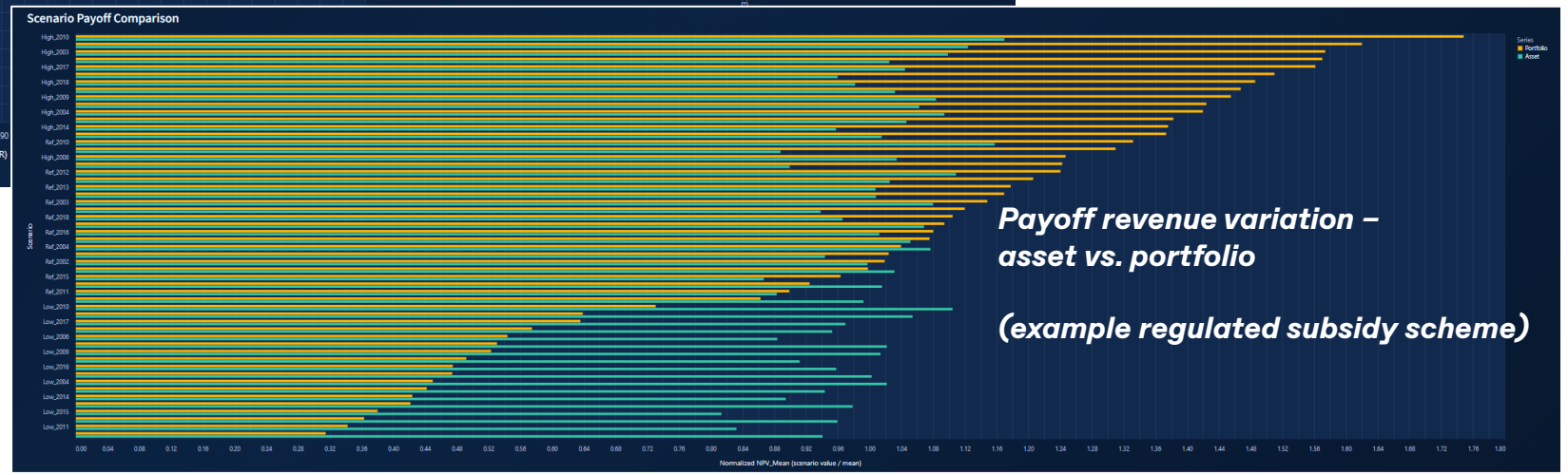
- The IRR quantile range analysis ensures **comparability of financial KPI variability between business cases / technologies** over the given scenario set
- In addition, we determine the probability that a business case falls within a particular IRR quantile range

- Idea: **Scale** the financial volume for calculating the portfolio effect to **standard investment volume**, for example, 250 million CHF (~10% of the total investment amount for Solutions 2030 in the Energy Solutions division)

➔Better **comparability of portfolio effect across different project sizes**

LPAF dashboard webapp – *Key tool for portfolio discussions at management & business development level*





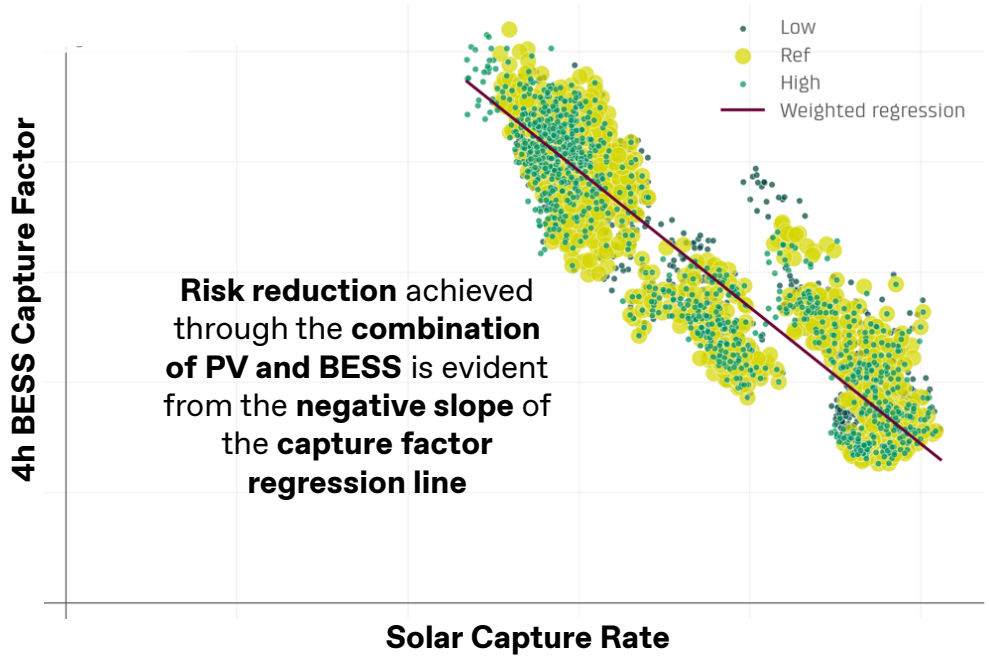
Payoff revenue variation – asset vs. portfolio

(example regulated subsidy scheme)

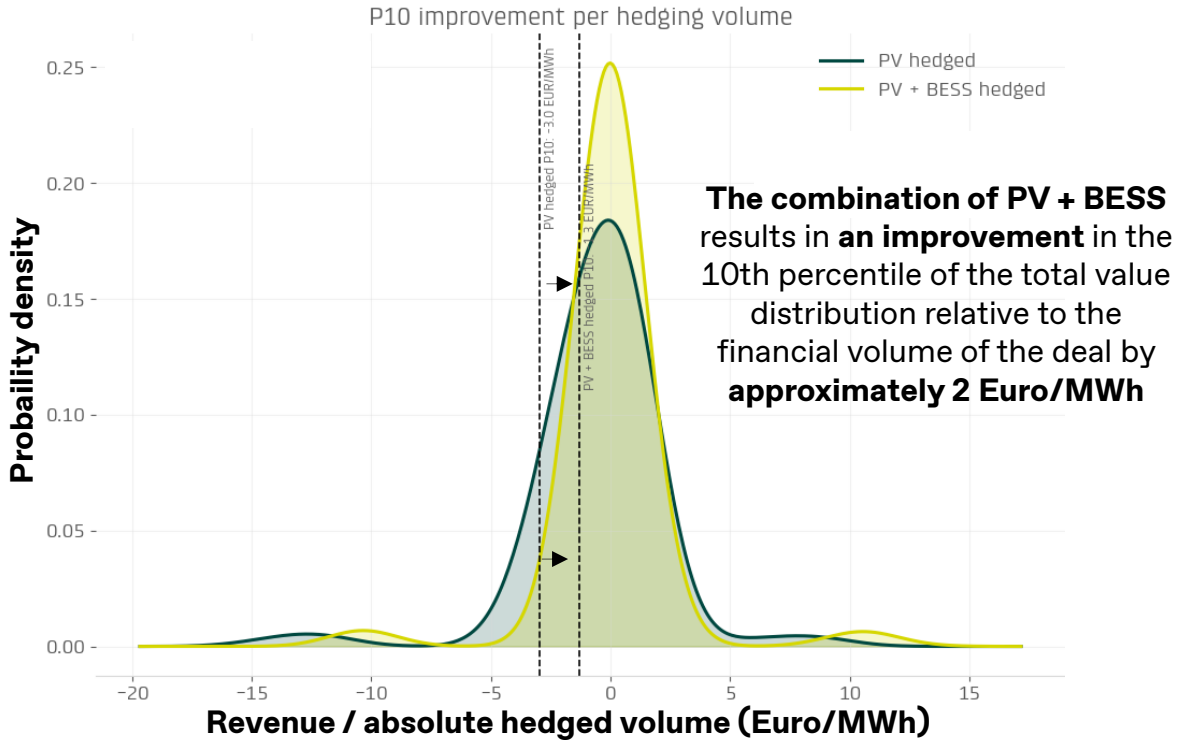
*With the development of an initial **version of the LPAF dashboard webapp, the NextGen development stream** of the project has already been launched. **Web app is a key element in introducing business units to the tool.***

Long-term deal pricing support – *Plausibility checks of tool outcomes together with trading business units*

Multi-Year PV and BESS Deal in FR with a monthly Value Baseload Hedge



Risk reduction achieved through the **combination of PV and BESS** is evident from the **negative slope** of the **capture factor regression line**



The combination of PV + BESS results in **an improvement** in the 10th percentile of the total value distribution relative to the financial volume of the deal by **approximately 2 Euro/MWh**

*LPAF subportfolio pricing effects are of the **same order of magnitude as estimated by business units purely stochastic models***
*➔ important for **gaining trust of the trading units***
*When applied to the overall portfolio, LPAF can be used for **steering of the long-term PPA & flex deal portfolio***

04

Conclusion & outlook – What are our next steps?

LPAF status update -
Quality checks and first real-life application use cases over the summer were promising

The application tests conducted through various workshops and comparisons with the Energy Solutions business units confirm that the tool functions flawlessly.



Key financial metrics for BKW facilities and structured transactions are accurately tracked

The tool accurately calculates key financial metrics such as NPV, IRR, EBIT, and free cash flow.



Scenario weighting and modeling regarding additional market segment returns are crucial

A fair valuation depends on excellent weighting of the scenarios as well as assumptions regarding additional returns in the intraday or ancillary services market.



User feedback on business cases and the web app as key elements for rapid, iterative improvements

The tool will only have a strategic impact if all relevant stakeholders use it with conviction.



Automation, governance, and institutionalization of the tool are the focus of the next weeks

Step-by-step integration into all relevant strategy and investment process chains are currently ongoing.

Next steps –
What will happen in the coming weeks?

Process, institutionalization, and governance tasks

- Present the portfolio steering report proposal
  - Flex and Inflex long-term deals
    - Develop a proposed bonus-malus methodology for pricing engine
    - Design an analytical framework for deriving the long-term deal target portfolio
  - Investment and M&A deals
    - Highlight changes in the financial attractiveness of technologies and countries compared to the last update
- Have the final governance concept approved and allocate the necessary resources (server & personnel) for 2027

Continued work on NextGen project streams

- Finalization of enhanced long-term ancillary services market price forecast engine
- Optimal portfolio suggestion module add-on development
- Completely integrated multi-market optimization (day-ahead, intraday, ancillary services, forward market) in the LPAF engine

Thanks for your attention!



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